

DDCP Foundation, Inc.

A Wyoming Nonprofit Corporation

ddcprotocol.org · contact@ddcpfoundation.org

COMMENT LETTER

Office of the Comptroller of the Currency

Notice of Proposed Rulemaking: Payment Stablecoin Issuers

Docket ID OCC–2025–0372 · RIN 1557–AF41

May 1, 2026

Comment Period Closes: May 1, 2026

I. Introduction

DDCP Foundation, Inc. (“DDCP Foundation”) is a Wyoming nonprofit corporation that serves as steward of the Decentralized Digital Currency Protocol (“DDCP”) — open-source stablecoin infrastructure. The DDCP protocol is publicly available and accessible executable software deployed to a distributed ledger, as that term is defined in section 2(9) of the GENIUS Act (12 U.S.C. 5901(9)).

DDUSD, LLC is a Wyoming limited liability company currently in formation as a prospective federal qualified payment stablecoin issuer. DDUSD is planned to be the first token deployment on the DDCP protocol: a USD-pegged stablecoin designed for global issuance on a permissionless public blockchain, with self-custody as the default wallet model. DDUSD, LLC intends to file a formal application for federal qualified payment stablecoin issuer (“PPSI”) status with the OCC and to engage the OCC proactively through the pre-application process on the questions addressed in this letter.

The DDCP Reserve Management Foundation (“RMF”) is a Swiss-domiciled nonprofit foundation currently in formation. The RMF will serve as third-party reserve manager for DDUSD, LLC and for future token deployments, managing reserve assets on behalf of each deployment’s issuer under governance-defined criteria for asset quality, duration, and liquidity. The RMF does not issue payment stablecoins and maintains no commercial relationship with end users.

This comment is submitted as a pre-application engagement document in public comment form. Its purpose is to establish on the rulemaking record, before the final rule issues, that DDCP’s three-entity structure and Financial Intermediary layer compliance architecture (the Financial Intermediaries being licensed exchanges, on/off-ramp operators, and custodial wallet providers

— the subset of digital asset service providers under section 2(7)(A) that hold KYC identity records and maintain fiat relationships with end users, and that constitute the enforcement-capable layer of the Act’s compliance architecture) are consistent with the plain text of the GENIUS Act — so that the OCC can confirm these interpretive questions in the final rule or accompanying commentary, enabling DDUSD, LLC to file its PPSI application on an established regulatory footing. This is not a challenge to the Act’s requirements. It is a request for the OCC to confirm that DDUSD, LLC satisfies them.

This comment advances four arguments. The first three — entity separation, lawful order compliance capability, and the one-brand/one-issuer framework — each depend on a threshold showing established in Section II: that the Act’s own definitions place DDCP Foundation, DDUSD, LLC, and the RMF in three legally distinct regulatory categories, with all compliance obligations under section 4 running exclusively to DDUSD, LLC as the issuer. The fourth argument — capital proportionality, responsive to NPRM Question 180 — stands independently of that categorization.

- **Entity separation under the Act’s definitions:** DDCP Foundation as protocol steward falls within the express DASP exclusions of section 2(7)(B). DDUSD, LLC as issuer is the sole target of all compliance obligations under section 4. The RMF as third-party reserve manager is accommodated within the Act’s framework under section 4(a)(7)(A)(iii). We respectfully request the OCC to confirm this three-way separation in the final rule.
- **DDUSD, LLC’s lawful order compliance capability:** DDUSD, LLC possesses the technological capability to comply with lawful orders as section 2(16) defines them — through new issuance co-signature authority and Financial Intermediary coordination. The Act’s own defined term determines what compliance capability is required, and the capability DDUSD, LLC has is calibrated precisely to the "reasonable particularity" and judicial or administrative oversight standards the Act embeds in that definition. Executive Order 14178’s directive to promote dollar-backed stablecoins as the alternative to CBDCs, and to protect self-custody of digital assets on open public blockchain networks, further supports the reading that "technological capability" under section 4(a)(6)(B) does not require an issuer to engineer protocol-level override capability against self-custody wallets — the full argument is developed in Section III.D. We request the OCC to confirm that this architecture satisfies section 4(a)(6)(B).
- **One-brand/one-issuer framework:** Responsive to Question 172 in the NPRM, DDCP’s per-deployment Issuer architecture — in which each token deployment has a distinct legal entity holding separate PPSI authorization, separate reserve pool, and separate on-chain token contract — satisfies any one-brand/one-issuer constraint by the Act’s own definition of “permitted payment stablecoin issuer” as a specific legal person.
- **Capital proportionality:** Responsive to Question 180 in the NPRM, the proposed \$5 million minimum capital requirement for de novo nonbank PPSI applicants is disproportionate as applied to a fully reserved, non-leveraged, non-deposit-taking stablecoin issuer. We request the OCC to confirm that a principles-based capital adequacy standard is available to applicants whose reserve architecture eliminates the principal risk categories that fixed minimum capital floors are designed to address.

II. The GENIUS Act's Definitions Place DDCP Foundation, DDUSD, LLC, and the RMF in Three Legally Distinct Regulatory Categories

This section II establishes, from the Act's text, the threshold showing on which the first three arguments depend: that the Act's own definitions treat DDCP's three entities as legally distinct, with all compliance obligations under section 4 running exclusively to DDUSD, LLC as the issuer.

A. DDCP Foundation and the Protocol: Expressly Outside the DASP Definition

Section 2(7)(B) of the Act (12 U.S.C. 5901(7)(B)) explicitly excludes from the definition of “digital asset service provider”: (i) a distributed ledger protocol; (ii) developing, operating, or engaging in the business of developing distributed ledger protocols or self-custodial software interfaces; and (iv) developing, operating, or engaging in the business of validating transactions or operating a distributed ledger. Section 2(9) defines “distributed ledger protocol” as “publicly available and accessible executable software deployed to a distributed ledger, including smart contracts or networks of smart contracts.” The DDCP protocol is precisely this. DDCP Foundation's role — stewarding the protocol specification, publishing the open-source codebase, and governing the improvement proposal process — is section 2(7)(B)(ii) activity: developing and operating a distributed ledger protocol. The DDCP validator network is section 2(7)(B)(iv) activity: validating transactions and operating a distributed ledger. Both are explicitly excluded from the DASP definition by the Act's own text, not by inference or policy argument. DDCP Foundation is not a “permitted payment stablecoin issuer” under section 2(23) because it does not issue payment stablecoins. Section 3(a)'s compliance obligations attach to issuance; DDCP Foundation does not issue.

B. DDUSD, LLC as the Issuer: The Sole Target of All Section 4 Compliance Obligations

Section 2(23) defines “permitted payment stablecoin issuer” as “a person formed in the United States” holding the relevant approval. Section 2(11)(A) defines the federal variant as “a nonbank entity... approved by the Comptroller... to issue payment stablecoins.” A specific, identifiable legal person. Every operative compliance obligation in section 4 runs explicitly to that person:

- Section 4(a)(1)(A): “A permitted payment stablecoin issuer shall maintain identifiable reserves” — the reserve maintenance obligation runs to the issuer.
- Section 4(a)(3)(B): “the Chief Executive Officer and Chief Financial Officer of a permitted payment stablecoin issuer shall submit a certification” — the issuer's own officers certify.
- Section 4(a)(5)(A): “A permitted payment stablecoin issuer shall be treated as a financial institution for purposes of the Bank Secrecy Act” — BSA treatment attaches to the issuer.
- Section 4(a)(6)(B): “A permitted payment stablecoin issuer may issue payment stablecoins only if the issuer has the technological capability to comply, and will comply, with the terms of any lawful order” — the compliance capability obligation attaches to the issuer.

- Section 2(16)(A): a lawful order “requires a person to seize, freeze, burn, or prevent the transfer of payment stablecoins issued by the person” — the compliance target is the person who issued the stablecoins.

DDUSD, LLC is that person. DDCP Foundation does not issue DDUSD tokens. The RMF does not issue DDUSD tokens. The compliance predicate in section 2(16)(A) — “stablecoins issued by the person” — cannot reach either of them because neither issues. All section 4 compliance obligations run exclusively to DDUSD, LLC.

C. The RMF as Third-Party Reserve Manager: Accommodated Within the Act’s Framework

Section 4(a)(1)(A) requires the issuer to “maintain identifiable reserves.” The word “maintain” does not require direct holding. The Act’s enumerated reserve categories confirm that third-party custody is expressly contemplated: section 4(a)(1)(A)(ii) includes “funds held as demand deposits... at an insured depository institution,” and section 4(a)(1)(A)(iv) through (v) address repurchase agreement arrangements with external counterparties. Section 4(a)(7)(A)(iii) makes the framework explicit: a permitted payment stablecoin issuer is authorized to “manage related reserves, including purchasing, selling, and holding reserve assets or providing custodial services for reserve assets, consistent with State and Federal law.” The RMF performs precisely this function — managing, purchasing, selling, and directing the holding of reserve assets — as investment manager contracted to DDUSD, LLC. Actual custody of reserve assets is provided by institutions that meet the supervisory and qualification requirements of section 10(a) of the Act, under the RMF’s investment management direction. The Act does not prohibit third-party reserve management, and the word “maintain” in section 4(a)(1)(A) runs to the issuer as a legal obligation regardless of how it is operationalized.

The RMF’s role is therefore that of a third-party investment manager contracted to DDUSD, LLC. The legal obligation under section 4(a)(1)(A) to maintain adequate reserves remains with DDUSD, LLC — the RMF fulfills that obligation through its management mandate, under governance-defined criteria for asset quality, duration, and liquidity. The RMF does not issue stablecoins, does not hold a commercial relationship with end users, and falls into neither the DASP definition nor any other regulated category under the Act. Each deployment’s reserve assets are independently attested and operationally segregated. The specific questions of how a contracted third-party investment manager fits within the Act’s supervisory framework, and how legal title to reserve assets is structured as between DDUSD, LLC and the RMF and its implications for section 4(a)(1)(A) compliance, will both be addressed by DDUSD, LLC through the pre-application engagement process with OCC licensing staff.

A separate question meriting acknowledgment concerns whether the RMF’s investment management activities could be characterized as digital asset service provider activity under section 2(7)(A). DDUSD, LLC’s position is that the RMF’s mandate — managing fiat-denominated reserve instruments including demand deposits, sovereign debt, and repurchase agreements — is categorically distinct from the digital asset activities enumerated in section 2(7)(A), none of which describe investment management of fiat-denominated instruments on behalf of a stablecoin issuer. The RMF does not exchange, transfer, or custody digital assets; it manages the fiat-denominated reserves that back them. DDUSD, LLC nonetheless acknowledges

this as a question to be addressed directly with OCC licensing staff through the pre-application engagement process.

D. Confirmation Requested

We respectfully request the OCC to confirm in the final rule or accompanying commentary that:

- DDCP Foundation, as a nonprofit entity whose activities consist of developing, publishing, and stewarding a distributed ledger protocol as defined in section 2(9), falls within the express exclusions of section 2(7)(B) and is not a digital asset service provider or a permitted payment stablecoin issuer under the Act;
- The DDCP validator network, as an entity engaged in the business of validating transactions and operating a distributed ledger, falls within the express exclusion of section 2(7)(B)(iv) and is not subject to DASP or PPSI obligations under the Act;
- All compliance obligations under section 4 of the Act run exclusively to the permitted payment stablecoin issuer — the specific legal entity holding PPSI authorization and on-chain issuance authority for a particular token deployment — and are not imputed to the protocol infrastructure, protocol steward, or reserve manager associated with that deployment; and
- The issuer's reserve maintenance obligation under section 4(a)(1)(A) runs to the issuer as a legal obligation regardless of how it is operationalized, and the Act does not prohibit third-party investment management of reserves. DDUSD, LLC will address the specific question of how a contracted third-party investment manager such as the RMF fits within the Act's supervisory framework through the pre-application engagement process.

III. DDUSD, LLC Possesses the Technological Capability to Comply with Lawful Orders as Section 2(16) Defines Them

The NPRM does not propose specific implementing rules for section 4(a)(6)(B)'s lawful order compliance capability requirement. Before the final rule issues, we invite the OCC to address how that requirement applies to a PPSI applicant whose protocol architecture locates compliance capability at the Financial Intermediary layer. DDUSD, LLC satisfies the requirement, and the Act's own definitions establish why.

A. The Defined Term "Lawful Order" Determines What Compliance Capability the Act Requires

Section 4(a)(6)(B) requires that "a permitted payment stablecoin issuer may issue payment stablecoins only if the issuer has the technological capability to comply, and will comply, with the terms of any **lawful order**." This letter addresses the capability component of that requirement — the component that must be resolved before the will-comply commitment can be made at application. "Lawful order" is a defined term. Section 2(16) requires that a lawful order: (A) requires action on payment stablecoins issued by the person — meaning orders run to the issuer with respect to stablecoins it issued; (B) specifies the payment stablecoins or accounts subject to blocking **with reasonable particularity**; and (C) is subject to judicial or

administrative review or appeal as provided by law. These three requirements define the compliance target. The Act does not require general, indiscriminate protocol-level freeze capability. It requires capability to comply with orders that are targeted, particular, and subject to judicial or administrative oversight.

Section 4(a)(5)(A)(iv) reinforces this reading. The BSA treatment provision requires “technical capabilities, policies, and procedures to block, freeze, and reject **specific or impermissible transactions** that violate Federal or State laws, rules, or regulations.” The “specific” qualifier aligns with section 2(16)(B)’s reasonable particularity standard. “Impermissible transaction” is a determination that requires information about the transaction’s counterparties — whether an address, an account, or an identified person — that resides at the Financial Intermediary layer, as discussed below.

B. DDUSD, LLC Possesses That Capability Through Two Mechanisms

New issuance co-signature authority. As the issuer, DDUSD, LLC holds co-signature authority over all new mints on the DDUSD token contract. No token can be issued without DDUSD, LLC’s co-signature; no reserve assets are released on redemption until the corresponding burn is confirmed on-chain — burns are holder-initiated at redemption, not issuer-initiated. DDUSD, LLC can refuse to co-sign new mints to a specifically identified address in response to a lawful order specifying that address with reasonable particularity.

Financial Intermediary coordination. All fiat boundary activity for DDUSD flows through the Financial Intermediaries – licensed exchanges, on/off-ramp operators, and custodial wallet providers – that maintain commercial relationships with end users and are already subject to Bank Secrecy Act, FinCEN, and OFAC compliance obligations as financial institutions under existing law. A lawful order directed at DDUSD, LLC with respect to a specifically identified account can be implemented through contractual direction to those Financial Intermediaries, restricting the identified person’s access to on/off-ramp services, fiat conversion, and custodial accounts. Non-custodial wallets, by design, do not participate in the KYC circuit; the protocol does not condition network access on identity verification.

Section 4(a)(6)(B) conditions issuance on the issuer possessing the technological capability to comply with the terms of “any lawful order.” For tokens held at Financial Intermediaries — in custodial accounts, exchange wallets, and on/off-ramp operator systems — DDUSD, LLC’s compliance architecture satisfies this requirement: the Financial Intermediary restricts the flagged account’s access to on/off-ramp services, fiat conversion, and custodial accounts under the court’s or agency’s direction, and any subsequent seize, freeze, burn, or transfer restriction with respect to those tokens follows from that process. For tokens held in non-custodial self-custody wallets, the position is different. A court order specifying a non-custodial wallet address satisfies section 2(16)(B)’s reasonable particularity requirement, and DDUSD, LLC does not possess the technological capability to comply with such an order at the protocol layer — the protocol’s architecture places non-custodial wallets outside the issuer’s unilateral reach by design. DDUSD, LLC acknowledges this directly. The same structural limitation applies to every public blockchain stablecoin issuer, and Congress passed the GENIUS Act against full awareness that public blockchain stablecoins support self-custody. Reading section 4(a)(6)(B) to require a capability that no public blockchain stablecoin issuer can structurally possess would prohibit the very class of instruments the Act is designed to regulate — a result that the canon against absurd

or self-defeating statutory readings counsels against. DDUSD, LLC's primary position — developed in Section III.D below — is that section 4(a)(6)(B), read consistently with Executive Order 14178's policy framework, does not require an issuer to engineer protocol-level override capability against self-custody wallets, and that the Financial Intermediary layer compliance model satisfies the Act's capability requirement for this class of tokens. DDUSD, LLC nonetheless acknowledges that this interpretive question would benefit from OCC guidance, and intends to address it directly with OCC licensing staff through the pre-application engagement process.

Together, the co-signature authority and Financial Intermediary coordination mechanisms give DDUSD, LLC the capability to comply with every lawful order that satisfies section 2(16)'s definition — orders that specify particular accounts, are directed at stablecoins DDUSD, LLC issued, and are subject to judicial or administrative oversight. This is the compliance capability the Act requires.

C. Financial Intermediary Compliance Delivers the Reasonable Particularity Section 2(16)(B) Requires

The Act's "reasonable particularity" requirement in section 2(16)(B) is not a procedural formality — it is a substantive constraint on what a compliant order looks like. A protocol-level freeze function cannot satisfy the reasonable particularity requirement of section 2(16)(B) because it operates on addresses rather than on identified persons or accounts — and an address can correspond to shared infrastructure, a custodial pool, or a DeFi protocol serving thousands of users with no relationship to the order being enforced. Financial Intermediary layer enforcement naturally satisfies this standard because the Financial Intermediary holds KYC identity records linking real-world individuals to wallet addresses — exactly the information needed to execute a targeted, particular enforcement action.

The March 2026 Circle episode illustrates why this matters. Circle froze USDC balances in sixteen unrelated operational wallets in response to a sealed civil court order targeting a single commercial dispute. Among those frozen was the ckETH Minter smart contract — public blockchain infrastructure processing transactions for thousands of users with no relationship to the litigation — and a fully licensed and compliant exchange. The court order was entirely legitimate. The problem was architectural: **a protocol-level freeze function cannot limit its own blast radius**, because it operates at a layer that holds no identity data connecting accounts to specific persons. It cannot satisfy reasonable particularity because it cannot distinguish the named account from adjacent infrastructure. As the Circle episode demonstrated, a protocol-level freeze function operates on addresses, not on persons; when an address corresponds to shared infrastructure — a smart contract, a custodial pool, a DeFi protocol — freezing the address freezes every user of that infrastructure regardless of their relationship to the litigation. The Financial Intermediary layer resolves this because Financial Intermediaries hold customer identity records that link legal persons to individual accounts, making targeted enforcement architecturally achievable.

The operationally effective interdiction point in any financial system is the boundary between the financial system and the real economy — the fiat off-ramp, the regulated service, the point of conversion. DDCP's architecture makes that boundary effective through Financial Intermediary compliance.

D. Executive Order 14178 as an Interpretive Constraint on "Technological Capability"

The GENIUS Act was enacted within the policy framework established by Executive Order 14178 of January 23, 2025 (Strengthening American Leadership in Digital Financial Technology). That order simultaneously directed promotion of "lawful and legitimate dollar-backed stablecoins worldwide" and prohibited CBDCs because they "threaten the stability of the financial system, individual privacy, and the sovereignty of the United States." The operative distinction between a dollar-backed stablecoin and a prohibited CBDC under EO 14178 is architectural: a CBDC creates a standing governmental lever over payment flows — a persistent capability to intervene in any transaction on the network. A dollar-backed stablecoin, in EO 14178's framework, does not.

A reading of section 4(a)(6)(B) that requires every GENIUS Act-licensed stablecoin issuer to build a protocol-level freeze function creates, as a condition of federal licensing, a permanent standing architectural override capability over all transactions on the issuer's network. That capability, once built, exists independently of the specific orders that trigger its use. It is operable by any party that can reach the issuer — through legal process, sanctions pressure, or other compulsion. The procedural requirements of section 2(16) constrain the form of individual orders; they do not limit the downstream use of an architectural capability that persists between orders. This is the structural property EO 14178 identified as the defining threat of CBDCs, reproduced in a licensed stablecoin as a condition of its federal authorization. A reading of "technological capability" that achieves this result is in tension with the executive policy framework within which the Act was enacted and is not compelled by the Act's text. The reading consistent with EO 14178 — Financial Intermediary layer compliance through targeted legal process — is available from the statute.

Section 1(a)(i) of Executive Order 14178 further declares as express executive policy the protection of "the ability of individual citizens and private-sector entities alike to access and use for lawful purposes open public blockchain networks without persecution, including the ability to develop and deploy software, to participate in mining and validating, to transact with other persons without unlawful censorship, and to maintain self-custody of digital assets." A reading of "technological capability to comply" that requires the issuer to engineer the capability to override self-custody wallets — to freeze or prevent the transfer of tokens held in non-custodial wallets — requires the issuer to build an architectural override of a protection EO 14178 expressly declares a policy interest in maintaining. Because "technological capability to comply" is not defined in the Act, the best reading of that term — one consistent with both the Act's purpose and the executive policy framework within which the Act was enacted — accommodates the Financial Intermediary layer compliance model: a model that provides effective, targeted law enforcement access through legal process while preserving self-custody as a practical matter for lawful users, which is precisely what EO 14178's framework envisions for a legitimate dollar-backed stablecoin operating on an open public blockchain.

E. Confirmation Requested

We respectfully request the OCC to confirm in the final rule or accompanying commentary that:

- An issuer whose protocol architecture locates KYC identity records and user relationships entirely at the Financial Intermediary layer — licensed exchanges, on/off-

ramp operators, and custodial wallet providers subject to existing BSA/AML obligations — satisfies section 4(a)(5)(A)’s BSA treatment requirements, because those obligations attach at the entities that hold the requisite user relationships and compliance capacity;

- A PPSI applicant possesses the "technological capability to comply" with lawful orders under section 4(a)(6)(B) when it holds (i) new issuance co-signature authority enabling it to refuse mints to specifically identified addresses in response to a lawful order, and (ii) contractual authority to direct Financial Intermediaries to restrict specifically identified persons' access to fiat conversion and custodial services — mechanisms calibrated to section 2(16)'s reasonable particularity and judicial or administrative oversight requirements; we further invite the OCC to confirm that “technological capability” under section 4(a)(6)(B) is satisfied when the issuer’s contractual authority over Financial Intermediaries places their compliance capabilities in service of the issuer’s lawful order obligations — consistent with how regulated entities routinely satisfy compliance obligations through contracted service providers;
- For tokens held at Financial Intermediaries, the compliance obligations in section 2(16)(A) — to seize, freeze, burn, or prevent the transfer of payment stablecoins — are satisfied through the issuer's new issuance co-signature authority and Financial Intermediary coordination mechanisms operating at the fiat boundary, and do not require unilateral issuer action against tokens at that layer; the compliance capability question with respect to tokens held in non-custodial wallets is an open question DDUSD, LLC intends to address through pre-application engagement with OCC licensing staff;
- A protocol-level freeze function — which operates on addresses rather than identified persons or accounts and cannot limit its own blast radius to the accounts specified in the order — would not be required by section 4(a)(6)(B), given that section 2(16)(B) requires lawful orders to specify accounts with reasonable particularity and section 2(16)(C) requires judicial or administrative review or appeal as provided by law; and
- Consistent with Executive Order 14178's direction to promote dollar-backed stablecoins as the alternative to CBDCs and to protect self-custody of digital assets on open public blockchain networks, confirm that “technological capability to comply” under section 4(a)(6)(B) does not require an issuer to engineer protocol-level override capability against self-custody wallets, and that Financial Intermediary layer compliance through judicial process satisfies the Act's compliance capability requirement with respect to tokens held outside custodial relationships.

IV. The One-Brand/One-Issuer Framework, Applied to Multi-Deployment Protocol Architectures

(Responsive to NPRM Question 172)

Question 172 of the NPRM asks whether the OCC should require that a permitted payment stablecoin issuer be allowed to issue only a single type (brand) of payment stablecoin, and invites comment on how reserve assets would be allocated across brands in the absence of such a restriction. DDCP’s architecture provides a direct answer.

Section 2(23) defines “permitted payment stablecoin issuer” as a specific legal person holding the relevant approval. Section 2(11)(A) defines the federal variant as “a nonbank entity... approved by the Comptroller... to issue payment stablecoins.” A permitted payment stablecoin issuer is, by statutory definition, a singular legal entity with a specific authorization. DDCP’s per-deployment Issuer architecture reflects this definition precisely: each token deployment on the DDCP protocol has a distinct legal entity holding separate PPSI authorization, operating a separate on-chain token contract, and backed by a separately ring-fenced reserve pool independently attested by the RMF. DDUSD, LLC issues only DDUSD. A future second USD-pegged deployment by a distinct operator would have its own separately licensed Issuer entity, wholly independent of DDUSD, LLC, issuing only its own token. The protocol infrastructure is shared; the issuers are legally distinct persons under the Act’s own definition.

This architecture eliminates the reserve allocation concern the NPRM identifies. Because each deployment’s Issuer entity holds a separate reserve pool independently attested and ring-fenced from every other deployment’s assets, there is no commingling risk and no ambiguity about which reserves back which stablecoin. The OCC’s concern about reserve allocation across brands is addressed structurally rather than through additional regulatory requirement.

We request the OCC to confirm in the final rule or accompanying commentary that:

- The “issuer” for purposes of any one-brand/one-issuer framework is the specific legal entity holding PPSI authorization and on-chain issuance authority for a particular token deployment — not the open-source protocol infrastructure on which multiple independently authorized and separately licensed Issuer entities operate; and
- A multi-deployment protocol architecture — in which distinct Issuer entities hold separate PPSI authorizations, maintain separately ring-fenced and independently attested reserve pools, and operate separate on-chain token contracts on shared protocol infrastructure — does not constitute a single issuer operating multiple stablecoin brands within the meaning of section 2(23) or any one-brand/one-issuer constraint the OCC may adopt.

V. Capital Requirements

(Responsive to NPRM Question 180)

DDCP Foundation also respectfully raises, as a prospective nonbank PPSI applicant on a solicited question, a concern about the proposed \$5 million minimum capital requirement and 12-month operational expense backstop applied uniformly to all nonbank PPSI applicants under proposed Part 15. As applied to a first-deployment stablecoin operating on a permissionless blockchain with full reserve backing, zero credit extension, zero leverage, and no deposit-taking activity, a fixed capital floor calibrated to traditional de novo bank risk profiles creates a disproportionate barrier to entry relative to the systemic risk that such an issuer poses at launch scale. The Act’s own capital requirement provision — section 4(a)(4)(A)(i) — expressly requires that capital requirements be “tailored to the business model and risk profile of permitted payment stablecoin issuers” and “do not exceed requirements that are sufficient to ensure the ongoing operations” of those issuers. The Rule of Construction in section 4(a)(4)(B)(i) further confirms that the OCC’s authority to tailor capital requirements extends to differentiation on an individual basis or by category, taking into consideration capital structure, business model risk profile,

complexity, financial activities, size, and any other risk-related factors the regulator determines appropriate — precisely the factors that distinguish a fully reserved, non-leveraged, non-deposit-taking stablecoin issuer from the de novo bank risk profile the proposed \$5 million floor is calibrated to address. DDCP Foundation respectfully requests the OCC to confirm that the capital adequacy requirements, and operational expense backstop, under proposed Part 15 will be applied in accordance with section 4(a)(4)(A)(i)'s tailoring mandate and section 4(a)(4)(B)(i)'s individual-basis differentiation authority, and that a principles-based capital adequacy determination is available to applicants whose fully reserved, non-leveraged architecture eliminates the principal risk categories that fixed minimum capital floors are designed to address.

VI. Conclusion and Confirmations Requested

DDCP Foundation submits this comment as steward of the DDCP open-source protocol infrastructure, on behalf of DDUSD, LLC (in formation) as the prospective federal qualified payment stablecoin issuer, and on behalf of the DDCP Reserve Management Foundation (in formation) as third-party reserve manager. This comment advances four arguments. The first three — entity separation, lawful order compliance capability, and the one-brand/one-issuer framework — each depend on a threshold showing established in Section II: that the Act's own definitions place DDCP Foundation, DDUSD, LLC, and the RMF in three legally distinct regulatory categories, with all section 4 compliance obligations running exclusively to DDUSD, LLC as the issuer. The fourth argument — capital proportionality, responsive to NPRM Question 180 — addresses the proposed minimum capital requirement as applied to a fully reserved, non-leveraged stablecoin issuer whose architecture eliminates the principal risk categories that fixed capital floors are designed to address. Establishing these interpretations on the rulemaking record before DDUSD, LLC's PPSI application is filed is the purpose of this comment.

We respectfully request that the OCC address the following confirmations in the final rule or accompanying commentary:

- **Entity separation:** Confirm that the DDCP protocol (as a distributed ledger protocol under section 2(7)(B)(i)), the DDCP validator network (as an entity engaged in validating transactions under section 2(7)(B)(iv)), and DDCP Foundation (as protocol steward under section 2(7)(B)(ii)) each fall within the Act's express DASP exclusions; that DDUSD, LLC as sole PPSI issuer under section 2(23) is the exclusive target of all section 4 compliance obligations; and that the RMF as third-party reserve manager operates within the Act's framework without bearing any section 4 compliance obligations of its own.
- **Lawful order compliance:** Confirm that a PPSI applicant possesses the "technological capability to comply" with lawful orders under section 4(a)(6)(B) — including the capability to seize, freeze, burn, or prevent the transfer of payment stablecoins as required by section 2(16)(A) — when that capability is exercised through new issuance co-signature authority and Financial Intermediary coordination operating at the fiat boundary with respect to tokens held at Financial Intermediaries, consistent with section 2(16)(B)'s reasonable particularity requirement; acknowledge that the compliance capability question with respect to lawful orders directed at tokens held in non-custodial wallets remains open pending OCC guidance; DDUSD, LLC's primary position — that section 4(a)(6)(B), read consistently with Executive Order 14178's policy framework, does not require an issuer to engineer protocol-level override capability against self-custody

wallets — is developed in Section III.D above, and DDUSD, LLC intends to address this question directly with OCC licensing staff through the pre-application engagement process; and confirm that BSA treatment under section 4(a)(5)(A) is satisfied when AML/CFT compliance is performed entirely at the Financial Intermediary layer by entities subject to existing BSA/AML obligations.

- **One-brand/one-issuer:** Confirm that a multi-deployment protocol architecture, in which each token deployment has a distinct PPSI-licensed Issuer entity with separate reserves and separate on-chain token contract, satisfies any one-brand/one-issuer constraint by the Act’s own definition of “permitted payment stablecoin issuer” as a specific legal person.
- **Capital proportionality:** Confirm that the capital requirements under proposed Part 15 will be applied in accordance with section 4(a)(4)(A)(i)’s tailoring mandate, and that a principles-based capital adequacy determination is available to applicants whose fully reserved, non-leveraged architecture eliminates the principal risk categories that fixed minimum capital floors are designed to address.

DDUSD, LLC intends to submit a formal application for federal qualified payment stablecoin issuer status and welcomes the opportunity to engage OCC licensing staff through the pre-application process on the questions raised in this letter.

Respectfully submitted,

DDCP Foundation, Inc.

Rodolfo J. Novarini

Founder

DDCP Foundation, Inc.

rodonovarini@ddcprotocol.org

ddcprotocol.org

May 1, 2026